

to less than \$105 thereafter. (On March 15, Russian crude was selling at a \$26 discount to Brent.) However, the significant jump in spot prices worries economists, whose estimates on the tipping point for crude prices—the point at which the Indian economy will begin to feel the full impact—vary between \$80 to \$100 a barrel.

Price hikes are not restricted to oil and gas or energy; over the past 18 months, all commodity prices have risen steadily. They seem to have plateaued, but this latest crisis has added its own upward impetus.

Rising prices of three metals are of major concern: steel, aluminium and nickel. In addition, coal is a significant factor in the production of the first two. On March 4, aluminium hit a record \$3,850 a tonne, an increase of 13 per cent in just a week, on the LME, and nickel reached an 11-year high.

The hike in steel prices could be beneficial for India, according to Amit Dixit, Director, Institutional Equities at Edelweiss Financial Services Ltd, a Mumbai-based financial services firm. “About 11 per cent of seaborne global steel exports are from Ukraine and Russia,” he points out. “Most of it is in-

tended for Southeast Asia, and the crisis will disrupt their supply. This can be an opportunity for Indian steel makers to enter that market.”

Aluminium poses a different problem. Because of its high energy intensity—in India, 40 per cent of the cost of production is attributable to coal (as a source of energy)—which is a problem for achieving net zero carbon as agreed to in the climate change accords. There has been a push towards recycling. The International Energy Agency reports that 34 per cent of the metal used in 2020 was recycled. “But there is also a shortage of 2 million tonnes in a market where demand is 69 million tonnes annually,” Dixit points out. Ergo, prices will go up.

Russia is a significant producer of aluminium, accounting for roughly 4-6 per cent of global production, and is among the world’s most cost-efficient producers. Sanctions compound the supply shortage. India is unlikely to face supply constraints, though. Hindalco, Vedanta and Nalco can more than meet domestic demand. But the metal’s prices are set at the LME, not in India, and so are likely to remain high.

Two other metals are worthy of

mention: palladium and platinum. Russia accounts for 35 per cent of the global production of the first, and 10 per cent of the second. Both are key inputs into catalytic converters, and thus the automobile supply chain. In 2019, palladium became the most expensive of the four precious metals (gold, silver, platinum and palladium), and a reliable substitute isn’t easily available. When the US imposed sanctions on Russia in April 2018—the US has a long history of imposing sanctions on Russia for a variety of reasons—the volatility in prices was similar, and the impact on the automobile industry was very adverse. That can hit close to home for consumers.

A TWIST IN THE TAILPIPE

In December 2021, asked by the media on the outlook for 2022, automobile industry leaders and senior executives shared opinions that ranged from hopeful to ‘cautiously optimistic’. The pandemic itself pushed up demand for personal passenger vehicles, although the global semiconductor chip shortage and higher fuel prices increased the cost of ownership considerably. Others said they expected demand to strengthen after India navigated the Omicron variant onset; production shortages due to a global semiconductor chip shortage were also handled relatively smoothly. But industry honchos seem unwilling to hazard a statement now. Attempts to connect with and questions sent to senior company executives for this article were met with silence.

Basudeb Banerjee, an Automobile Industries Analyst at ICICI Securities, says there’s no cause for worry. “The choice for consumers is really between the cost of personal mobility weighed against the cost of family time, which seems to have become more valuable now,” he says. “Most people will



“India’s GDP growth for this year—FY22—is unlikely to be impacted, though some volatility in bond and currency markets cannot be ruled out”

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